Report to Shareholders

Management's Discussion and Analysis

Second quarter results reflect the benefits of significant investments in world class assets, strong brands and product innovation. The UK bakery operations realized significant volume growth supported by the new plants in Rotherham and Walsall. *Dempster's Smart* bread, launched in the first quarter, has achieved strong market response and the higher value sales mix has improved overall margins. Profits have been impacted by higher input costs such as wheat and escalating fuel costs. Price adjustments will continue to be passed on as required to offset these higher costs.

Sales for the second quarter increased by approximately 7% to $335.5 million from $314.3 million for the prior year, driven by increased volume in the UK Bakery operations, improved sales mix and price increases which more than offset some market softness. Year-to-date sales increased 6% to $637.1 million from $603.7 million.

Earnings from operations for the second quarter increased 6% to $32.2 million compared to $30.5 million last year, while year-to-date earnings from operations increased 15% to $60.2 million from $52.5 million. Comparisons of year-to-date earnings from operations exclude $4.7 million ($3.2 million after tax) of restructuring costs in the first quarter of 2005. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

Net earnings for the quarter increased to $22.9 million ($0.90 per share) from $21.3 million ($0.84 per share) last year. Year-to-date net earnings increased 16% to $42.3 million ($1.66 per share) compared to $36.4 million ($1.43 per share) before restructuring costs last year. Including the restructuring costs year-to-date, net earnings in 2005 were $33.1 million ($1.30 per share).

Operating Review

The following table, which forms the basis of discussion in this document of the Company's results of operations, reflects operating earnings by business segment before restructuring costs:

Earnings from Operations

($ millions)	Second Quarter			Year-to-Date		
	2006	2005	Change	**2006**	2005	Change
Fresh Bakery	**26.9**	25.7	4 %	**48.4**	40.7	19%
Frozen Bakery	**5.3**	4.8	12 %	**11.8**	11.8	-

Fresh Bakery *(Fresh bakery products and specialty fresh pasta and sauces)*

Fresh Bakery sales in the second quarter increased 4% to $229.8 million from $221.5 million last year supported by improved sales mix and price increases which more than offset some overall market softness.

Earnings from operations increased to $26.9 million in the second quarter from $25.7 million last year, while earnings from operations year-to-date increased to $48.4 million from $40.7 million last year. This increase was largely due to an improved product mix.

Fresh Bakery operating earnings increased slightly from last year due to an improved mix of higher margin bakery products, supported by an ongoing focus on new product innovation, higher nutrition products and investment in brand building. The Company benefited from the first quarter launch of *Dempster's Smart*, a white bread product made with a new enriched whole wheat flour that provides the health attributes of whole grain bread. These gains more than offset an industry wide volume decline and higher input costs. While a price increase implemented in February helped to offset higher fuel prices, the Company will continue to pass through price adjustments as necessary to offset rising input costs, including wheat and energy, which have increased significantly from last year.

The fresh pasta business also increased earnings in the quarter due to increased retail volume supported by growing North American market share and sales of higher margin products.

Frozen Bakery (*North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales in the second quarter increased to $105.7 million from $92.8 million last year primarily due to higher volume in the United Kingdom. Sales for the first six months increased to $199.8 million from $184.3 million last year.

Operating earnings increased to $5.3 million in the second quarter from $4.8 million last year, while operating earnings for the year-to-date were the same as with last year at $11.8 million.

Frozen bakery earnings rose in the second quarter due to the increased contribution from the U.K. bakery operations, which benefited from the contribution of increased production from the new bagel plant in Rotherham and the par-baked plant in Walsall as well as lower advertising and promotional costs compared to the prior year period. The North American frozen bakery operations achieved a strong volume increase in the quarter due to new foodservice business and increased bagel sales, although profits were impacted by higher energy, distribution and raw material costs. The business continues to gradually pass through price increases to offset these higher input costs.

Cash Flow and Financing

Cash flow from operating activities for the second quarter was $26.0 million compared to $30.4 million last year, while year-to-date cash flow from operations was $20.5 million compared with $26.5 million in the prior year-to-date. For each of the quarter and year-to-date, an increase in net earnings was offset by a change in operating working capital, mainly the result of increased sales.

Capital expenditures for the second quarter declined to $10.4 million compared to $20.7 million last year. Prior year capital expenditures included a new line installation in the U.S. and completion of the new bagel plant in the U.K.

Income Taxes

Included in income tax expense for the quarter is a one-time gain of $1.3 million related to revaluations of future tax assets and liabilities as a result of a decrease in Federal tax rates. These amounts arose from changes in tax laws enacted in the quarter.

Changes in Accounting Policies

Effective January 1, 2006 the Company retroactively adopted, with restatement of prior periods, the guidance presented in EIC Abstract 156, "Accounting by a Vendor for Consideration Given to a Customer (including a Reseller of the Vendor's Products)". The new guidance requires vendors to classify certain consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive, an identifiable benefit in exchange for the consideration. This impact of the adoption of this standard was a reduction in sales during the quarter of approximately $33.5 million (2005: $30.3 million). The impact of the adoption for the first six months of 2006 was a reduction in sales of approximately $64.0 million (2005: $57.8 million). This accounting change had no impact on operating earnings, net earnings or earnings per share.

Quarterly Financial Information

The following is a summary of unaudited quarterly financial information for the ten interim periods ended June 30, 2006 (thousands of dollars except per share amounts):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Year-to-Date
Sales [(i)]	**2006**	**$301,564**	**$335,545**			**$637,109**
	2005	289,376	$314,280	$314,518	$308,832	1,227,006
	2004	280,350	302,289	307,024	317,678	1,207,341
Net earnings	**2006**	**$19,397**	**$22,880**			**$42,277**
	2005	11,885	21,262	$23,038	$18,737	74,922
	2004	12,549	15,799	19,048	19,252	66,648
Net earnings before restructuring costs	**2006**	**$19,397**	**$22,880**			**$42,277**
	2005	15,104	21,262	$23,038	$18,737	78,141
	2004	12,549	15,799	19,048	19,252	66,648
Earnings per share						
Basic	**2006**	**$0.76**	**$0.90**			**$1.66**
	2005	0.47	$ 0.84	$ 0.91	$ 0.74	2.95
	2004	0.49	0.62	0.75	0.76	2.62
Basic before restructuring costs	**2006**	**$0.76**	**$0.90**			**$1.66**
	2005	0.59	0.84	$0.91	$0.74	3.07
	2004	0.49	0.62	0.75	0.76	2.62
Diluted	**2006**	**$0.76**	**$0.90**			**$1.66**
	2005	0.47	0.83	$0.90	$0.74	2.93
	2004	0.48	0.61	0.73	0.75	2.57

[(i)] Refer to Changes in Accounting Policies section above.

Derivatives

In the ordinary course of business, Canada Bread enters into derivative financial instruments to reduce underlying fair value and cash flow risks associated with foreign currency, interest rates and commodity prices. If the Company had not entered into these contracts, operating earnings for the second quarter of 2006 would have been lower by $0.3 million (2005: higher by $0.4 million) and lower by $0.6 million on a year-to-date basis (2005: higher by $0.4 million). Without these contracts, interest expense for the second quarter of 2006 would have been higher by $0.8 million (2005: higher by $0.2 million) and higher by $1.5 million on a year-to-date basis (2005: higher by $ 0.4 million).

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect," "anticipate," "intend," "attempt," "may," "plan," "believe," "seek," "estimate," and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. Therefore, actual outcomes and results may differ materially from what is expressed, implied or forecasted in such forward-looking statements. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise.

These forward looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and U.S. economies, the rate of appreciation of the Canadian dollar versus the U.S. dollar, the availability and prices of raw materials, energy and supplies, product pricing, the competitive environment and related market conditions, operating efficiencies, access to capital, the cost of compliance with environmental and health standards, adverse results from ongoing litigation and actions of domestic and foreign governments. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts. Actual results may differ materially from those predicted by such forward-looking statements. While the Company does not know what impact any of these differences may have, its business, results of operations, financial condition and the market price of its securities may be materially adversely affected. Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements include, among other things: the risks posed by food contamination, consumer liability and product recalls; the risks related to the creditworthiness of customers to whom the Company extends credit; the Company's exposure to currency exchange risks; the impact of international events on commodity prices and the free flow of goods; the risks posed by compliance with extensive government regulation; the risk due to the consolidating customer environment; leverage risk and the risk posed by pandemic.

Other Matters

The Company declared a dividend of $0.06 per share payable on October 2, 2006 to shareholders of record on September 15, 2006.

Canada Bread, which is 87.5% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2005 sales of $1.2 billion and employs approximately 7,300 people at its operations across North America and in the United Kingdom.